Co-developed as a joint venture with Metlonics

SPACEGEN AVIATION AEROSPACE AND DEFENCE PRIVATE LIMITED

Chandigarh Drone Facility

Facility Design, Drones & Counter-UAS Market and 10-Year Sales Plan

Combined report – Facility Design Report (Rev 2) and Market & Sales Plan, in the order of the investor presentation

India drone + C-UAS spend FY26-27 (est.)	**≈ ₹12,300 Cr**
Chandigarh-addressable market FY27-28 → FY36-37	**₹1,578 → ₹6,945 Cr**
Chandigarh sales Year 1 (FY27-28), Base	**₹21.8 Cr**
Chandigarh sales Year 10 (FY36-37), Base	**₹140 Cr**
10-year sales CAGR (Base)	**23%**
Facility operating cost Year 1 → Year 10	**₹2.9 → ₹17.7 Cr**
Share of Chandigarh-addressable market, Year 10	**2%**
Facility capital cost (incl. simulator zone)	**₹1.74 Cr**



Technical Area – front view with SpaceGen signboard (3D impression)

October 2026 · Rev 3 (combined) · Confidential

Document Control

Item	Details
Organisation	SpaceGen Aviation Aerospace and Defence Private Limited
Document	Chandigarh Drone Facility – Combined Report: Facility Design, Market and 10-Year Sales Plan
Location	Chandigarh, Punjab – SpaceGen Northern Sector Drone Facility (reports to Hyderabad HQ)
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Parts: Market (Sections 1–4) · The Chandigarh facility (Sections 5–11) · Business plan (Sections 12–22).

1. Executive Summary

India is now spending on drones and counter-drone (C-UAS) systems at a pace not seen before. The FY 2026-27 defence budget raised capital acquisition (modernisation) by 24.6% to ₹1,85,467 crore, of which 75% is earmarked for domestic industry. Since Operation Sindoor (May 2025) the forces have used emergency and fast-track routes heavily for drones, loitering munitions and C-UAS; every infantry battalion now has an 'Ashni' drone platoon. The northern sector – J&K, Ladakh, Punjab, Himachal Pradesh and the Punjab/Jammu border – is the most drone-active theatre, and Punjab's 'Baaz Akh' anti-drone grid starts at Chandigarh.

This plan covers only the SpaceGen Chandigarh Drone Facility. Chandigarh is SpaceGen's northern-sector hub: a ₹1.74 crore campus with a technical area, simulator zone (RPTO classroom), netted arena, obstacle course and open flying field, run by a 6-person team reporting to Hyderabad HQ. It drives five of SpaceGen's eleven enablers (1–5). The other six – central procurement (6), PMF and civil departments (7), DPSU partnering (8), expos and exports (9), joint development with the Army (10) and integrated MUM-T / swarm-defence solutions (11) – need more expertise, dedicated technical teams and long cycles, so they are led and booked at Hyderabad HQ and are not counted here.

On this basis the Base case grows Chandigarh sales from ₹21.8 crore in Year 1 (FY 2027-28) to ₹140 crore in Year 10 (FY 2036-37) – a 23% CAGR – while Chandigarh's share of the northern-sector market it addresses rises from 1.4% to 2%. The facility's operating cost grows from ₹2.9 crore in Year 1 to ₹17.7 crore in Year 10 (about 12–13% of sales), ₹99.8 crore over ten years; ₹0.89 crore of the Year-1 cost is fixed (team, admin, HQ visits, demos, induction move). A Conservative case reaches about ₹91 crore and an Upside case about ₹182 crore by Year 10.

Key conclusions

- **Right location:** Northern and Western Command, BSF Punjab and Jammu Frontiers and Punjab Police are within a day's drive of Chandigarh – the cheapest place to demonstrate, train and support SpaceGen drones and C-UAS.
- **Chandigarh-led revenue:** existing customers, demos at the facility and in forward areas, the RPTO and GeM orders (enablers 1–5) give ₹21.8 crore in Year 1 and grow to ₹140 crore by Year 10.
- **Hyderabad HQ enablers:** PMF and civil departments, DPSU partnering and expos / exports (enablers 7–9) now sit with Hyderabad HQ, together with 6, 10 and 11; Chandigarh supports them with demos, but none of their sales or costs are counted in this plan.
- **Products:** Drones specific to the Northern sector will be considered for shifting to Chandigarh on Technical Ownership Transfer, at transfer cost; the product details will be explained by Capt Vego separately.
- **Funding:** ₹2–3 crore seed covers the ₹1.74 crore facility, the first year of fixed running cost (≈ ₹0.89 crore) and a demo fleet; later expansion (₹1.0 crore in Year 4, ₹1.5 crore in Year 7) is funded from internal accruals.

2. Why Now – India Is Buying Drones and C-UAS at Record Pace

Since Operation Sindoor (May 2025), the forces have moved drones and counter-drone systems to the top of their buying list. The figures below show the scale.

Figure	What it is
₹1,85,467 Cr	Defence modernisation budget FY 2026-27, +24.6%; 75% reserved for Indian industry
≈ ₹30,000 Cr	Emergency and fast-track buys incl. drones, loitering munitions, C-UAS, EW
≈ ₹20,000 Cr	Army plan for drones & surveillance; a further tactical-drone order of over ₹20,000 Cr expected
≈ ₹52,000 Cr	DAC approvals (Jul 2026) incl. anti-drone and kamikaze drones – RFPs to follow
≈ 380	Infantry battalions with an 'Ashni' drone platoon; ~5,000 drones per command
44,000+	DGCA remote-pilot certificates issued – training demand keeps rising

Sources: MP-IDSA, Indian Express, Reuters / DFI, Channel IAM, IANS, DGCA data (2026).

3. Market and Budget Allocation

3.1 Defence budget (Ministry of Defence)

Head (₹ crore)	2025-26 BE	2026-27 BE	Change
Total MoD budget	6,81,210	7,84,678	+15.2%
Capital outlay – defence services	1,80,000	2,19,306	+21.8%
Modernisation (capital acquisition)	1,48,839	1,85,467	+24.6%
Of which earmarked for domestic industry	—	1,39,100 (75%)	—
Defence services revenue	3,11,732	3,65,479	+17.2%

Source: MP-IDSA analysis of MoD Budget Estimates 2026-27. 'Unmanned Aerial Vehicles, Drones, etc.' are listed among forthcoming capital acquisitions.

3.2 Home Affairs – paramilitary (PMF / CAPF)

Head (₹ crore)	2025-26 RE	2026-27 BE
Total MHA	2,41,485	2,55,234
All CAPFs	1,12,636	1,16,789
BSF	29,568	29,568
CRPF	37,251	38,518
ITBP	9,869	11,324
Assam Rifles	8,376	8,797
Modernisation of Police Forces	3,280	4,061
Border infrastructure	5,472	5,577

Source: PRS Legislative Research, Demand for Grants 2026-27 – Home Affairs. Punjab separately sanctioned ₹51.4 crore for 9 'Baaz Akh' anti-drone systems from Chandigarh to Fazilka (Aug 2025).

3.3 Market size and growth (published estimates)

Market	Size	Forecast	CAGR	Source
India drone (UAV) market	US$0.47 bn (2025)	US$1.39 bn (2030)	24.4%	MarketsandMarkets
India anti-drone market	US$197.5 mn (2025)	US$983.7 mn (2030)	37.9%	MarketsandMarkets
– of which military & defence	US$163.8 mn	US$783.1 mn	36.7%	MarketsandMarkets
– homeland security	US$13.6 mn	US$75.5 mn	41.0%	MarketsandMarkets
India drones + anti-drones (all)	≈ US$1.27 bn (2026)	—	—	DroneIntelligence
India C-UAS addressable (5 yrs)	≈ ₹12,000 Cr (≈1,200 systems)	—	≈28%	Motilal Oswal / DD News
Indian drone industry turnover	₹60 Cr (2021) → ₹3,000–4,000 Cr (2025)	₹19–20k Cr ('coming years')	—	Drone Federation of India
Global military drones	US$34.9 bn (2026)	US$109.2 bn (2031)	25.7%	MarketsandMarkets
Global counter-UAS	US$9.2 bn (2026)	US$29.7 bn (2031)	26.5%	MarketsandMarkets

3.4 Year-on-year budget for drones & C-UAS – Defence, PMF and Civil (estimate, ₹ crore)

No single public figure gives India's yearly spend on drones and C-UAS, so the table below is a triangulated estimate. FY 2026-27 is anchored on the ≈US$1.27 bn (≈₹10,800 crore) combined market estimate, the ₹30,000 crore post-Sindoor emergency buys spread over 2–3 years, and the MoD and MHA budgets above. Growth rates start near the published CAGRs (24–38%) and taper as the market matures. The last column is the part the Chandigarh facility can address.

Year	Defence – drones	Defence – C-UAS	PMF / CAPF & police	Civil Govt & enterprise	Total	YoY	SpaceGen-addressable (national)*	Chandigarh-addressable (northern sector)**
FY26-27	6,000	2,500	800	3,000	12,300	—	4,910	1,220
FY27-28	7,500	3,375	1,040	3,660	15,575	26.6%	6,293	1,578
FY28-29	9,300	4,455	1,331	4,465	19,551	25.5%	7,976	2,011
FY29-30	11,346	5,702	1,664	5,358	24,070	23.1%	9,897	2,508
FY30-31	13,615	7,128	2,030	6,430	29,203	21.3%	12,071	3,068

Year	Defence – drones	Defence – C-UAS	PMF / CAPF & police	Civil Govt & enterprise	Total	YoY	SpaceGen-addressable (national)*	Chandigarh-addressable (northern sector)**
FY31-32	16,066	8,696	2,436	7,587	34,785	19.1%	14,443	3,678
FY32-33	18,637	10,261	2,874	8,801	40,573	16.6%	16,892	4,307
FY33-34	21,246	11,800	3,334	10,121	46,501	14.6%	19,380	4,938
FY34-35	24,008	13,334	3,801	11,538	52,681	13.3%	21,948	5,586
FY35-36	26,889	14,934	4,257	13,038	59,118	12.2%	24,611	6,256
FY36-37	29,847	16,577	4,725	14,603	65,752	11.2%	27,351	6,945

**SpaceGen-addressable = the part of each domain that matches SpaceGen's product classes: 35% / 60% / 70% / 25% of defence drones / defence C-UAS / PMF / civil. **Chandigarh-addressable = the northern-sector part of that: 30% / 30% / 25% / 0% (Northern & Western Command, BSF Punjab/Jammu, J&K and Punjab police; civil departments are HQ-led and excluded).*

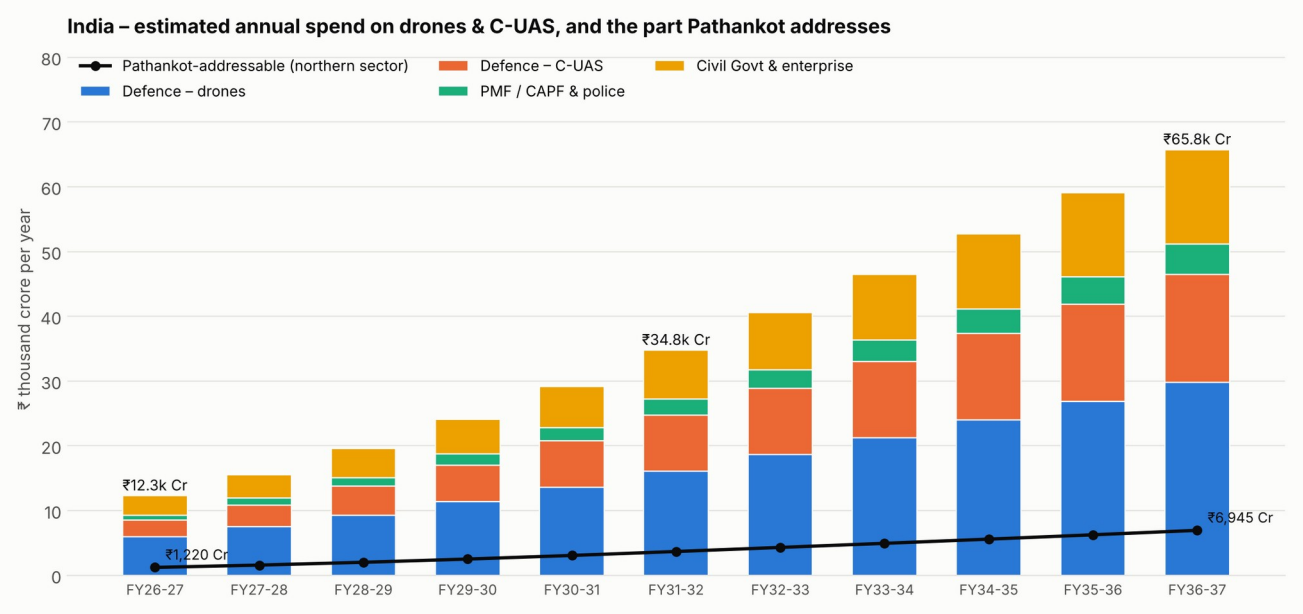


Figure A – Estimated annual drone & C-UAS spend in India by domain, and the Chandigarh-addressable part

3.5 Where to invest – sector view

Sector	Growth	Fit with SpaceGen products	Priority
Defence C-UAS (Army AD, IAF bases, formations)	Very high (30%+)	Sentinel, Scout, Shield, MITYA, interceptors, net/foam drones	1 – lead segment
Army tactical drones (FPV, ISR VTOL, logistics)	High (20–25%)	FPV range, Aniketra/Samharak, transport drones, payloads	1 – lead segment
Training & simulation (RPTO, Ashni platoons)	High	RPTO at Chandigarh, Sky Commander simulator, FPV training	2 – low capital, steady cash
PMF / CAPF / border-state police	High (25%+)	Tethered drones, handheld detectors, jammers, VTOL ISR	2
Civil govt – roads, power, oil & gas	Medium-high (18–22%)	Fixed-wing / VTOL mapping, LiDAR, inspection; C-UAS for refineries & airports	3 – diversifies away from defence cycles
Exports (friendly countries)	Medium, lumpy	C-UAS, interceptors, FPV	3 – from Year 3 after expos

4. SpaceGen Today – Capability Base

4.1 Product portfolio (from company brochures)

Family	Products	Key capability	Main buyers
FPV & strike drones	4" digital attack FPV; 5" analog & digital grenade-dropper FPV	150 km/h, 15–24 min, DJI air unit long range; FPV military training	Army infantry & Ashni platoons, special forces
VTOL ISR / mapping	ANIKETRA (tricopter V-tail), SAMHARAK (4+1 flying wing), pusher & swept-wing long-range VTOL	3.5 kg MTOW, 2.5 kg payload, 4 h, 60+ km, BLOS, GPS-denied nav; ISR, laser designation, logistics, LiDAR mapping	Army, PMF, NHAI / power / oil & gas survey
Interceptor drones	LAKSHYA, ARJUNA, ARJUN VYUHA, ARJUN KAVACH	Up to 500+ km/h, 20 km, 3,000 m ceiling; kinetic/hard-kill interception	Army Air Defence, IAF bases, critical infrastructure
Counter-UAS	SpaceGen Scout (handheld, 7 km), Sentinel (35 km, 450-model AI library, 400 MHz–6 GHz), Shield (spoofer + jammer, 3 km), MITYA GNSS spoofer (4 constellations, MIL-STD-461E, IP67), handheld RF jammer, detection app	Detect, classify friend/foe, jam and spoof; swarm neutralisation	Army, IAF, BSF, state police, VIP security, airports, refineries
Non-kinetic capture	Net-thrower drone, foam-spraying drone	Capture intact drones for forensics	Police, CAPF, airports
Persistent surveillance	Tethered drone system (EO/IR, 120 m, 24×7); 5 kg tethered drone	Unlimited endurance surveillance	Border posts, CAPF, events, industry
Logistics & payloads	Transport drones 70–150 kg; smoke launchers 38/60/80 mm; weapon dropper; OFC anti-interference; portable helipad (Army-tested)	Forward resupply and tactical payloads	Army, armed police
Training	Sky Commander fixed-wing flight simulator; FPV military training	Simulator-based pilot training	Army units, RPTO trainees

4.2 Customers and credentials

- **Customers:** 18+ Army units supplied, including 20 Bihar, 16 Bihar, 13 Dogra, 12 JAK LI, 23 Rashtriya Rifles, 68 / 93 / 94 / 293 Medium Regiments and 173 Infantry Brigade; plus 17 BSF, Tamil Nadu Police (CM Security Branch), TN Police Intelligence and GITAM University.
- **CEO:** ex-Army, instructor in drones, counter-drones and SDR at MCEME for 3 years; former students are deployed across Northern Command (J&K) and Western and Central Commands – a ready network of informed users and buyers. Rich experience in handling projects in all niche domains at larger scale and end to end management of projects and its serviceability.
- **GeM:** registered on GeM (ID 4RRO250013676721).
- **New facility:** Chandigarh Drone Facility – ₹1.74 crore capital, ₹85.6 lakh a year to run, with technical area, simulator zone, obstacle course, open flying field and RPTO.
- **Hub-and-HQ model:** Hyderabad HQ designs and builds the products, holds the technical ownership and leads enablers 6–11 – central procurement, PMF and civil, DPSU partnering, exports, joint development and integrated solutions; Chandigarh sells, demonstrates, trains and supports in the northern sector.

5. The Chandigarh Hub – Summary of the Facility

Chandigarh is SpaceGen's demonstration, test and training base next to the most drone-active theatres. Its purpose is to bring Northern and Western Command formations, BSF and state police to see, fly and buy SpaceGen drones and C-UAS, and to train their pilots.



Figure 0 – 3D impression of the Chandigarh facility

5.1 Summary of items

Aspect	Nomenclature
Budget	≈ ₹1.74 crore (₹1.59 crore facility + ₹15 lakh simulator zone)
Buildings	One combined prefab Technical Area of 5,000 sq ft (100 × 50 ft), 20 ft high
Software & hardware	3 computers with tables & chairs + 2 × 3D printers (rear right corner)
Testing & evaluation	3 ESD drone benches with soldering & instruments, 2 round tables, racks (front right)
Capability display	8 round revolving display tables + 8 LED backlit boards (left side, tables in centre)
Test & calibration equipment	3-DOF rig, vibration analyser, 20 kg thrust stand, payload gimbal test – front left
Simulator zone	4 flight-simulator stations + Sky Commander fixed-wing station, instructor console – right of the aisle as you enter, ₹15 lakh
Obstacle course	Basic / Intermediate / Advanced course right of passage, ₹13.67 lakh incl. 4 flood lights
Site sequence	Gate → passage (parking LEFT, flying arena RIGHT) → Technical Area

6. Site Layout

The site keeps the 2-acre technical campus (90 × 90 m) and the adjoining 5-acre open flying training area (150 × 135 m). On entering through the main gate, visitors drive or walk up an 8 m wide paver-block passage. Parking is on the LEFT of the passage and the netted drone flying arena with the obstacle course is on the RIGHT. The passage ends at the portico and main door of the Technical Area. Behind the hall are the toilet cabin, DG set and water tank, and a track on the east side leads through a gate to the 5-acre field, which is kept for flying training of existing drones.

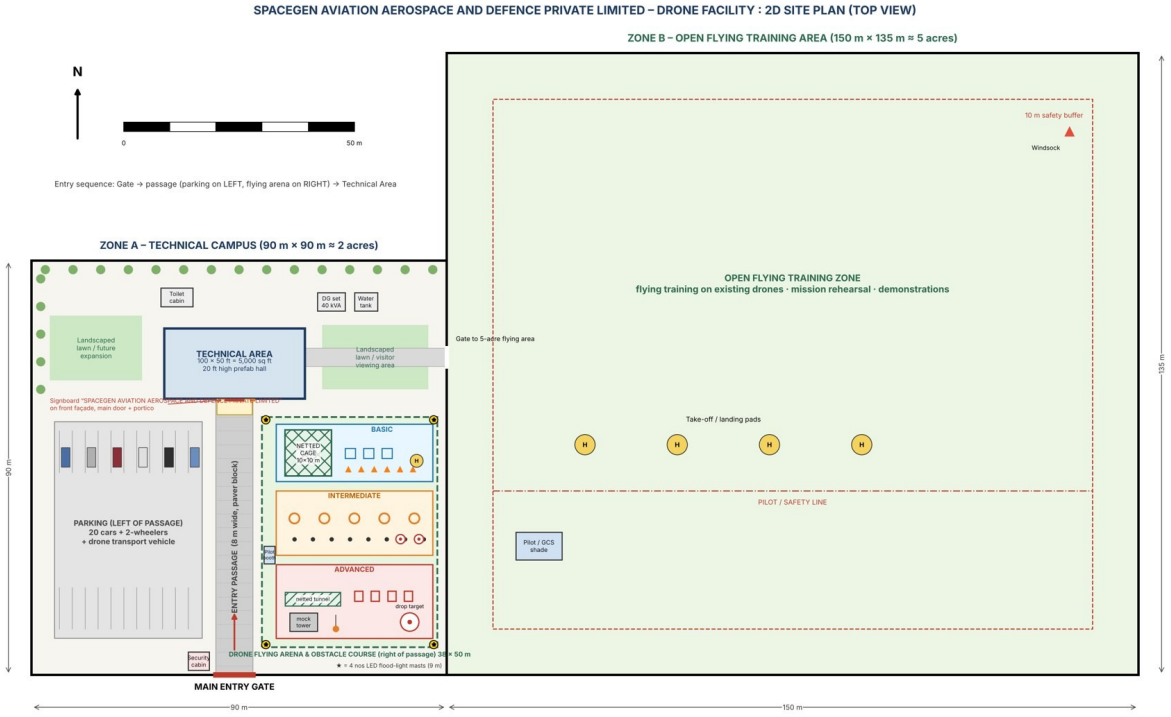


Figure 1 – 2D site plan (top view)

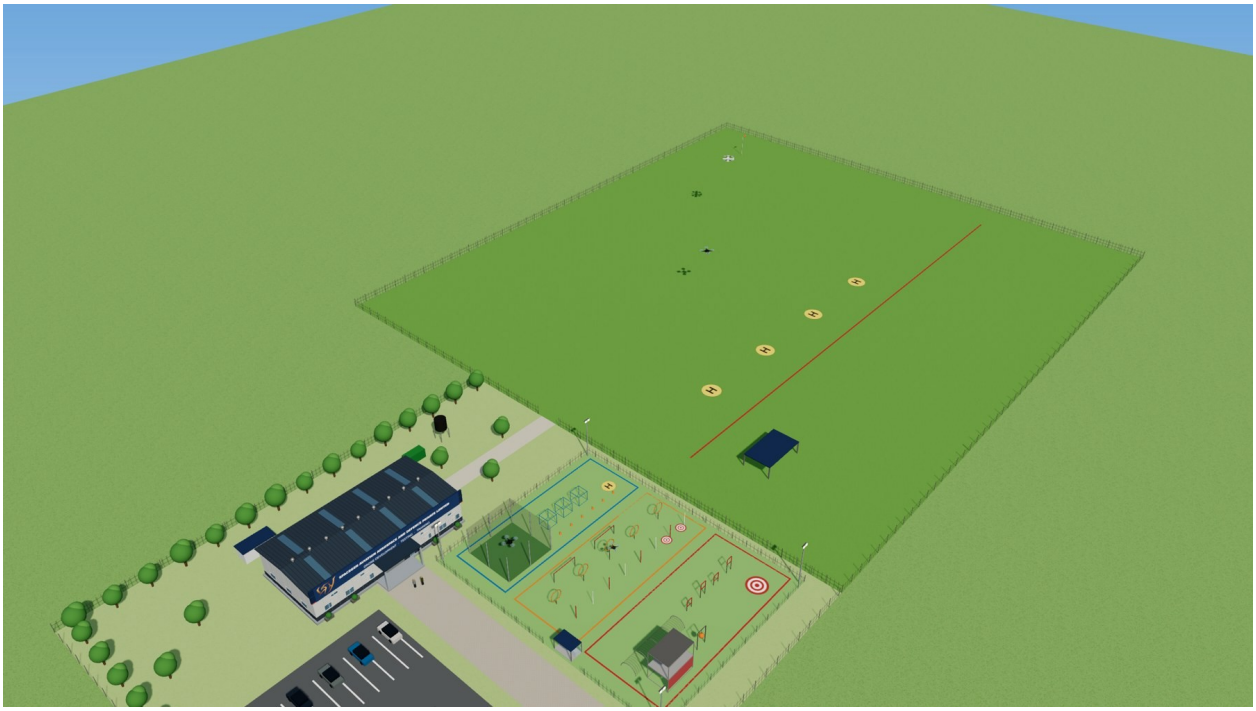


Figure 2 – 3D panoramic view of the complete area



Figure 3 – 3D aerial view of the technical campus: parking (left), passage, flying arena (right), Technical Area

7. Technical Area – Prefabricated Shelter

Feature	Specification
Covered area	5,000 sq ft (100 ft × 50 ft = 30.5 m × 15.2 m), single open-plan hall
Height	20 ft eave height, ≈ 22.5 ft at ridge / top of front fascia
Structure	Pre-engineered steel portal frames; 50 mm PUF-insulated colour-coated sandwich panels for walls and roof – fast to install (≈ 6–8 weeks after foundation), expandable and relocatable
Big entrance door	Motorised rolling shutter 14 ft wide × 14 ft high, centred on the front wall under a portico
Small door	4 × 7 ft steel-glass door with biometric access, right of the main shutter, for regular access; rear emergency exit
Windows	16 aluminium sliding windows 5 × 4 ft (6 front, 4 rear, 3 on each side) + 4 high-level ventilator louvres
Ventilation	Cross-ventilation through windows, 10 roof turbo ventilators, 6 exhaust fans, polycarbonate skylight strips
Lighting	18 × 150 W LED high-bay lights + 16 LED task panels over benches, computers and display; 16 spot lights on display tables
Fans & ACs	2 HVLS big ceiling fans + 8 wall fans; 8 × 2 TR inverter split ACs (spread across all zones)
Floor	450 mm RCC plinth with epoxy coating, colour-coded by zone with yellow walkway lines
Aesthetics	Light-grey ribbed panels with dark-grey dado band, navy ACP front fascia with red accent line, 3D LED signboard "SPACEGEN AVIATION AEROSPACE AND DEFENCE PRIVATE LIMITED", portico and planters

7.1 Zone arrangement (as you enter by the main door, facing inward)

- **Capability Display Zone –** LEFT half of the hall. The 8 round display tables (Ø4 ft on Ø2 ft base with revolving castor wheels) are in the centre in two rows of four with drones displayed on them; the 8 LED backlit boards (3 × 4 ft) on drones and C-UAV equipment are on the left wall and rear wall, with a 75" display.
- **Drone Testing & Calibration Equipment –** FRONT LEFT, along the front and side walls: 20 kg thrust stand in a polycarbonate safety cage, 3-DOF test rig, vibration analyser bench and payload gimbal test bench.
- **Software & Hardware Development Zone –** RIGHT-MOST CORNER OPPOSITE THE DOOR (rear right), behind a glass partition: 3 computers with tables and chairs and 2 × 3D printers.
- **Drone Testing & Evaluation Lab –** RIGHT DOWN CORNER (front right): 3 ESD drone benches with soldering/rework stations and instruments (2 chairs each), 2 round tables with 4 chairs each, 2 component racks and 2 battery storage racks next to the small door.
- **Simulator Zone –** RIGHT of the central aisle as you enter by the main door (≈ 300 sq ft, glass-partitioned): 4 flight-simulator stations, a Sky Commander fixed-wing station, an instructor console and a 65" debrief display. It doubles as the RPTO classroom required for DGCA remote-pilot training. The two round tables of the testing lab move further right to make space.
- **Central aisle –** a central aisle from the main door to the rear emergency exit keeps visitors on a clear walkway between the display side and the work side.

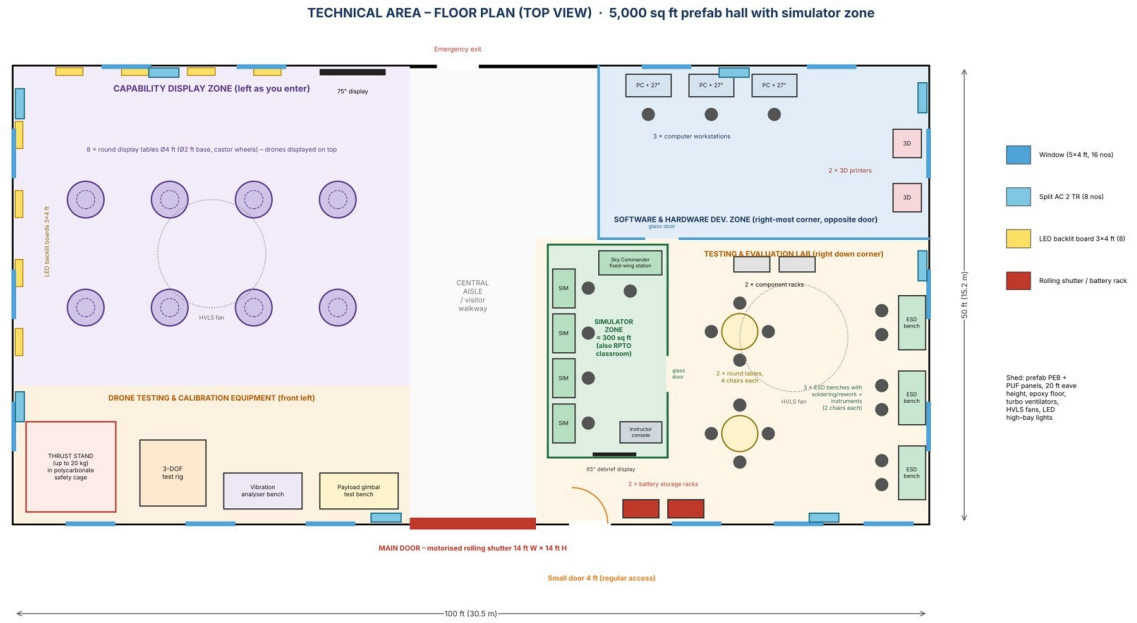


Figure 4 – Technical Area floor plan (2D top view) with simulator zone

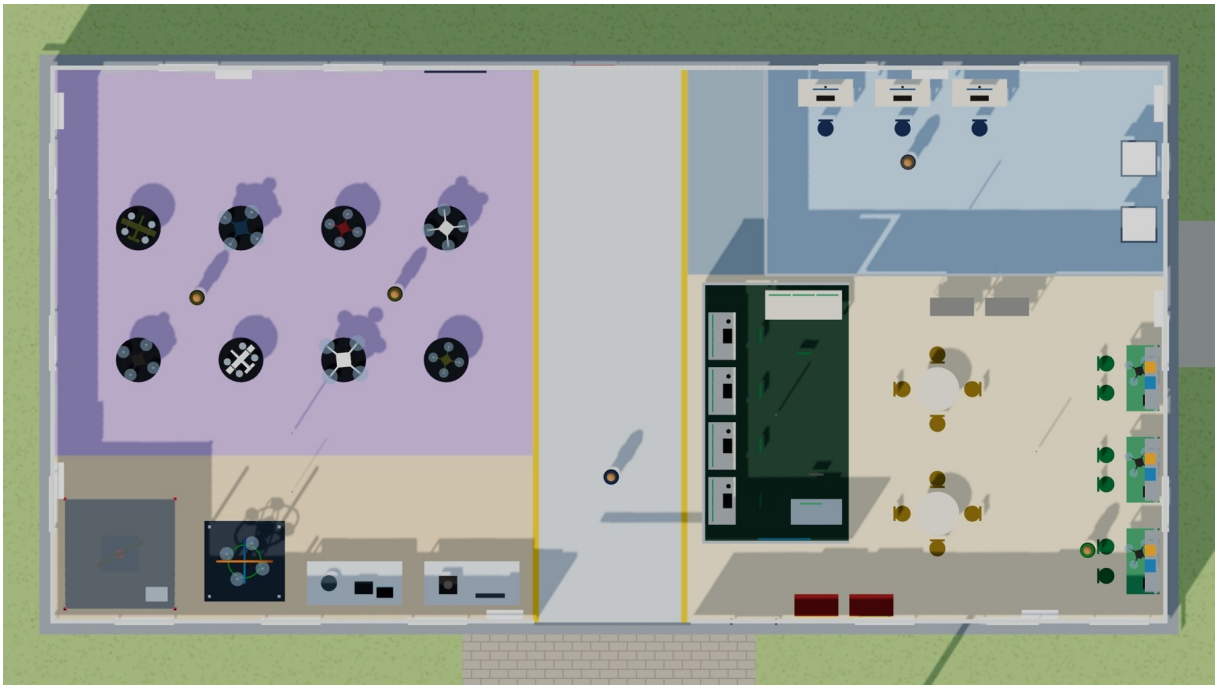


Figure 5 – Technical Area 3D top view (roof removed)



Figure 6 – 3D panoramic view of Technical Area from front-left (cut-away)



Figure 7 – 3D panoramic view from front-right (cut-away) showing the simulator zone

8. Elevations and Side View

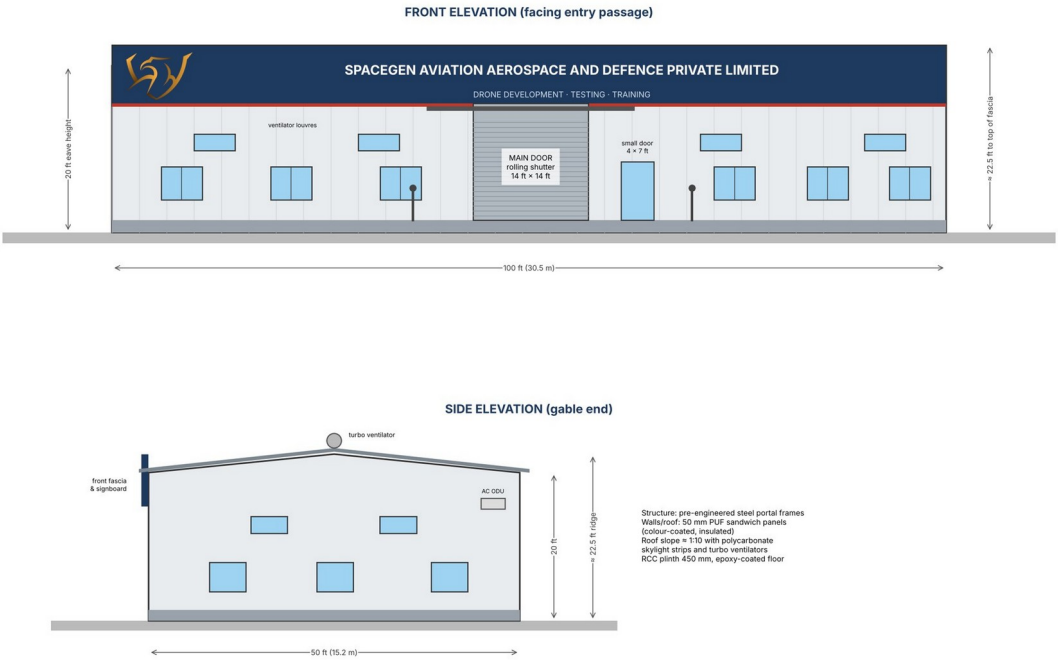


Figure 8 – Front and side elevations (2D) showing 20 ft height and signboard



Figure 9 – 3D side view of Technical Area with flying arena in foreground

9. Drone Flying Arena & Obstacle Course

The flying arena (38 × 50 m) lies to the right of the entry passage and is laid out in three lanes so trainees progress from Basic to Advanced. The full course, including the 10 × 10 m netted cage and four 400 W LED flood lights on 9 m masts at the corners, is estimated at ₹ 13,67,000 – within the ₹10–15 lakh target.

Level	Elements	Training objective
Basic	Netted cage 10 × 10 × 6 m, 3 hover boxes, cone slalom, H-pad	Take-off / landing, stable hover, yaw, orientation – safe for beginners
Intermediate	5 hoop gates at varying heights, 8 slalom poles, 2 altitude bars, 2 landing targets	Precision, speed and altitude control, spot landing
Advanced	Netted tunnel Ø3 × 12 m, 4 window frames, 2-level mock tower, swinging obstacle, payload-drop target	Confined-space, urban / ISR scenarios, dynamic obstacles, payload drops
Lighting & safety	4 × 400 W LED flood lights on 9 m masts, pilot booth, arena fence, windsock, signage	Evening / low-light training and safe operations



Figure 10 – 3D view of the flying arena: netted cage, three training lanes, flood lights and the 5-acre field beyond

10. Bill of Quantities – All Items with Cost and Remarks

Approximate budgetary costs in Indian Rupees (2026 market rates), excluding GST. Final prices depend on brand, specification and vendor quotations.

S.No	Item	Qty	Unit cost (₹)	Total (₹)	Remarks (use)
A. Technical Area – Prefabricated Shelter & Building Services (5,000 sq ft, 20 ft high)					
1	Site preparation, foundations & 450 mm RCC plinth with VDF floor	5,000 sq ft	180	9,00,000	Level, load-bearing base on which the prefab shed is erected
2	Pre-engineered steel structure with 50 mm PUF-insulated roof & wall panels, 20 ft eave height (100 × 50 ft)	5,000 sq ft	760	38,00,000	Main prefab shelter – quick to erect (approx. 6–8 weeks), insulated, can be expanded or relocated
3	Front ACP façade cladding & fascia band	1 lot	3,00,000	3,00,000	Aesthetic front elevation that carries the company signboard
4	3D LED-lit signboard "SPACEGEN AVIATION AEROSPACE AND DEFENCE PRIVATE LIMITED" with logo	1 no	1,50,000	1,50,000	Company identity on the front façade, visible from the entry passage
5	Portico canopy over main entrance (7.6 × 3.4 m)	1 no	1,00,000	1,00,000	Covered drop-off & welcome point for visitors / defence delegations
6	Main entrance – motorised rolling shutter 14 ft W × 14 ft H	1 no	1,60,000	1,60,000	Big door for moving large drones, equipment and vehicles in/out
7	Small door 4 × 7 ft (steel-glass) with biometric access control	1 no	45,000	45,000	Regular day-to-day access for staff and visitors
8	Emergency exit door (rear) with panic bar	1 no	30,000	30,000	Fire-safety exit at the back of the hall
9	Aluminium sliding windows 5 × 4 ft with toughened glass & mesh	16 nos	16,000	2,56,000	Natural light and cross-ventilation (6 front, 4 rear, 3 on each side)
10	High-level ventilator louvres	4 nos	8,000	32,000	Lets hot air escape at upper level of the 20 ft shed
11	Polycarbonate skylight strips in roof	1 lot	80,000	80,000	Daylight inside the hall, reduces lighting load
12	Roof turbo ventilators	10 nos	5,000	50,000	Wind-driven, zero-power exhaust of hot air from ridge
13	Exhaust fans (heavy duty)	6 nos	6,000	36,000	Forced ventilation, especially at soldering / 3D-printing / battery areas
14	Epoxy floor coating with zone colour marking	5,000 sq ft	50	2,50,000	Dust-free, easy-to-clean floor; marks the zones and walkway
15	Aluminium-frame glass partition for S/W & H/W zone (with glass door)	1 lot	1,80,000	1,80,000	Separates the computer / 3D-printer zone for dust and AC efficiency while staying visible
16	Internal electrical wiring, DBs, MCBs, 3-phase supply, earthing, sockets	1 lot	4,00,000	4,00,000	Power to all zones, benches, test equipment and ACs
17	LED high-bay lights 150 W	18 nos	6,500	1,17,000	General lighting of the 20 ft high hall
18	LED panel / task lights at work zones	16 nos	2,000	32,000	Extra light over benches, computers and display
19	HVLS (big) ceiling fans, 12–16 ft dia	2 nos	1,80,000	3,60,000	Air circulation across the large hall at low running cost
20	Wall-mounted fans	8 nos	4,500	36,000	Spot cooling at benches and display zone
21	Split air-conditioners 2 TR, inverter, 5-star	8 nos	55,000	4,40,000	Cooling of work zones, computers, test equipment and visitor area
22	Online UPS 6 kVA with battery bank	1 no	1,20,000	1,20,000	Clean backup power for computers, instruments and network
23	Fire alarm, smoke detectors & fire extinguishers (ABC, CO_2, Class-D)	1 lot	1,20,000	1,20,000	Fire safety incl. lithium battery fires
24	CCTV (8 cameras + NVR) & visitor access control	1 lot	1,20,000	1,20,000	Security of drones and equipment; logging of defence visitors
25	Networking – router, firewall, switch, Wi-Fi access points	1 lot	60,000	60,000	Internet, file sharing and GCS connectivity
			Sub-total A	**₹ 81,74,000**	
B. Software & Hardware Development Zone (rear right corner)					
26	Computer workstations (Core i7, 32 GB RAM, RTX-class GPU, 1 TB SSD, 27" monitor)	3 nos	1,30,000	3,90,000	Drone design (CAD), firmware coding, simulation and flight-log analysis
27	Computer tables (modular workstation 1.5 m with cable tray)	3 nos	15,000	45,000	To keep the computers
28	Ergonomic office chairs	3 nos	9,000	27,000	Seating for developers

S.No	Item	Qty	Unit cost (₹)	Total (₹)	Remarks (use)
29	3D printers (enclosed, large-bed, carbon-fibre filament capable)	2 nos	1,00,000	2,00,000	Prototyping of frames, mounts, brackets and spares
30	3D printer stands with filament storage	2 nos	10,000	20,000	Stable base and dry storage of filament
31	Software licences (CAD / design tools, 3 seats, 1 year)	1 lot	1,20,000	1,20,000	Mechanical design and drawings; GCS & simulation software are open-source
			Sub-total B	**₹ 8,02,000**	
C. Drone Testing & Evaluation Lab (front right corner)					
32	Round tables (4 ft dia)	2 nos	15,000	30,000	Discussion, test planning and briefing
33	Chairs for round tables	8 nos	4,500	36,000	Four chairs per round table
34	Drone ESD work benches (6 × 3 ft, ESD top, shelves, power strip, lamp, ESD mat & wrist straps)	3 nos	45,000	1,35,000	Drone inspection, assembly, repair and testing
35	Soldering & SMD rework stations (soldering + hot-air)	3 nos	25,000	75,000	Soldering of ESCs, motors, connectors; PCB rework – one per bench
36	Digital storage oscilloscope 100 MHz, 4-channel	3 nos	35,000	1,05,000	Instrumentation per bench – checks PWM/DShot signals, power rails, sensor buses
37	Programmable DC bench power supply 0–30 V / 30 A	3 nos	20,000	60,000	Instrumentation per bench – safely powers drones/boards during testing
38	Digital multimeter + clamp meter set	3 sets	8,000	24,000	Instrumentation per bench – voltage, current, continuity checks
39	Precision tool kit (hex drivers, crimpers, prop balancer)	3 sets	8,000	24,000	Routine assembly and maintenance at each bench
40	ESD chairs for drone benches	6 nos	6,000	36,000	Two chairs per drone bench
41	Component racks with storage bins (6 ft)	2 nos	15,000	30,000	Storage of motors, ESCs, propellers, connectors, fasteners
42	Battery storage racks – metal, with fire-retardant LiPo boxes	2 nos	40,000	80,000	Safe storage of drone batteries near the exit door
43	Smart LiPo battery chargers (multi-port, balance)	2 nos	25,000	50,000	Charging and storage-charging of drone batteries
			Sub-total C	**₹ 6,85,000**	
D. Capability Display Zone (left as you enter – tables in the centre)					
44	Round display tables Ø4 ft on Ø2 ft round base with lockable revolving castor wheels	8 nos	30,000	2,40,000	Display of SpaceGen drones; tables can be moved and rotated for viewing
45	LED backlit information boards 3 × 4 ft (with printed graphics)	8 nos	20,000	1,60,000	Information on drones and C-UAV equipment for visitors and defence users
46	Track / spot lights over display tables	16 nos	3,500	56,000	Highlights each drone on display
47	75-inch 4K display with wall mount & media player	1 no	1,20,000	1,20,000	Company video, mission footage and presentations to visitors
			Sub-total D	**₹ 5,76,000**	
E. Drone Testing & Calibration Equipment (front left, along the sides)					
48	3-DOF (roll/pitch/yaw) drone attitude test rig	1 no	2,50,000	2,50,000	Tethered testing of stabilisation and PID tuning without flying
49	Vibration analyser with triaxial accelerometers & software	1 no	2,50,000	2,50,000	Measures frame/motor vibration; finds imbalance and resonance
50	Thrust measurement stand – up to 20 kg thrust (load cells, RPM, current, voltage, torque)	1 no	4,00,000	4,00,000	Load testing of motors and propellers up to 20 kg; efficiency curves
51	Polycarbonate safety cage for thrust stand (3 × 3 × 2.2 m)	1 no	60,000	60,000	Protects staff from propeller / motor failure during thrust tests
52	Payload gimbal testing set-up (gimbal bench, calibration targets, monitor, power)	1 no	1,50,000	1,50,000	Testing and calibration of camera / EO-IR gimbals and payloads
53	Heavy-duty equipment tables / platforms	4 nos	20,000	80,000	Stable mounting of test rigs and analysers
			Sub-total E	**₹ 11,90,000**	
F. Drone Flying Arena & Obstacle Course (right of passage) – Basic / Intermediate / Advanced					
54	Ground levelling, grassing & marking of arena (38 × 50 m)	1 lot	1,50,000	1,50,000	Even, dust-free flying surface with lane markings for the three levels
55	BASIC – Netted cage 10 × 10 × 6 m (GI pipe frame, HDPE net on 4 sides + top)	1 no	3,50,000	3,50,000	Safe first flights for beginners; protects drones from damage

S.No	Item	Qty	Unit cost (₹)	Total (₹)	Remarks (use)
56	BASIC – Hover boxes (2 × 2 × 2 m frames)	3 nos	6,000	18,000	Stable hover, altitude hold, 360° yaw practice
57	BASIC – Traffic cones (slalom) + takeoff/landing H-pad	1 lot	25,000	25,000	Low-level slalom, take-off and landing drills
58	INTERMEDIATE – Hoop gates Ø2.2 m at varying heights	5 nos	8,000	40,000	Precision transit through gates
59	INTERMEDIATE – Slalom poles 3 m	8 nos	3,000	24,000	Coordinated turns and speed control
60	INTERMEDIATE – Altitude bars (fly-under / flyover)	2 sets	15,000	30,000	Altitude control while moving
61	INTERMEDIATE – Precision landing targets	2 nos	6,000	12,000	Spot-landing accuracy scoring
62	ADVANCED – Netted tunnel Ø3 m × 12 m	1 no	1,20,000	1,20,000	Confined-space and GNSS-weak flying
63	ADVANCED – Window frames 1.2 × 1.2 m at offset heights	4 nos	12,000	48,000	Tight-gap transits
64	ADVANCED – Mock tower (2-level scaffold, 6 × 4 × 6 m)	1 no	1,50,000	1,50,000	Roof landing, window entry and urban / ISR scenarios
65	ADVANCED – Swinging obstacle	1 no	35,000	35,000	Dynamic obstacle avoidance
66	ADVANCED – Payload-drop target	1 no	10,000	10,000	Accuracy of payload / supply drops
67	LED flood lights 400 W on 9 m galvanised masts, incl. cabling & control	4 nos	55,000	2,20,000	Lights the complete obstacle course for evening / low-light training
68	Pilot booth (polycarbonate shield, roof)	1 no	75,000	75,000	Protected pilot / instructor position
69	Arena fencing (1.5 m), windsock, safety signage	1 lot	60,000	60,000	Keeps people out of the arena during flights
			Sub-total F	**₹ 13,67,000**	
G. Site Works & Utilities					
70	Main entry gate (sliding) with pillars	1 no	1,50,000	1,50,000	Controlled entry to the facility
71	Prefab security cabin	1 no	1,20,000	1,20,000	Guard post and visitor registration at gate
72	Entry passage – paver block road, 8 m wide × 60 m	480 m²	700	3,36,000	Passage from gate to the technical area
73	Parking (left of passage) – WBM with paver / bitumen top, ≈ 1,200 m²	1,200 m²	400	4,80,000	Parking for about 20 cars, two-wheelers and drone transport vehicle
74	Boundary chain-link fencing – 2-acre campus (≈ 360 m)	360 m	900	3,24,000	Secures the technical campus
75	Chain-link fencing & rough levelling – 5-acre flying area	1 lot	3,50,000	3,50,000	Secures and prepares the open flying training area for existing drones
76	Prefab toilet cabin (2 WC + wash basins)	1 no	2,50,000	2,50,000	Staff and visitor amenities
77	Water supply – borewell, tank, plumbing	1 lot	2,00,000	2,00,000	Water for toilets and fire safety
78	Power connection & external cabling, street lights	1 lot	3,00,000	3,00,000	Electricity to the campus
79	DG set 40 kVA (silent) with AMF panel	1 no	5,00,000	5,00,000	Backup power for the technical area and flood lights
80	Landscaping & plantation	1 lot	1,00,000	1,00,000	Green, dust-free and pleasant campus
			Sub-total G	**₹ 31,10,000**	
H. Simulator Zone (right of aisle as you enter)					
81	Flight simulator stations – PC, 3 × 24" monitors, RC transmitter, sim software (multirotor/FPV)	4 nos	1,50,000	6,00,000	Basic-to-advanced pilot training before live flying; RPTO syllabus
82	Sky Commander fixed-wing / VTOL simulator station	1 no	2,00,000	2,00,000	Fixed-wing and VTOL mission training; SpaceGen product
83	FPV goggle training kits with radios	4 sets	40,000	1,60,000	FPV attack-drone training on simulator
84	Instructor console with 65" debrief display	1 lot	1,50,000	1,50,000	Instructor monitoring, replay and debrief
85	Simulator desks and ergonomic seats	5 sets	20,000	1,00,000	Trainee seating at stations
86	Glass partition, door and acoustic panels (≈ 300 sq ft)	1 lot	1,20,000	1,20,000	Quiet, enclosed classroom inside the hall
87	Split AC 2 TR (inverter) for simulator zone	1 no	55,000	55,000	Cooling for PCs and trainees
88	UPS 3 kVA online with batteries	1 no	60,000	60,000	Uninterrupted training sessions
89	Electrical points, LAN and Wi-Fi for zone	1 lot	55,000	55,000	Power and network to all stations
			Sub-total H	**₹ 15,00,000**	

S.No	Item	Qty	Unit cost (₹)	Total (₹)	Remarks (use)
			GRAND TOTAL (excl. GST)	₹ 1,74,04,000	≈ ₹ 1.74 crore

11. Cost Summary, Budget and Regulatory & Safety Notes

Head	Description	Amount (₹)	In lakh
A	Technical Area – Prefabricated Shelter & Building Services (5,000 sq ft, 20 ft high)	81,74,000	81.74 lakh
B	Software & Hardware Development Zone (rear right corner)	8,02,000	8.02 lakh
C	Drone Testing & Evaluation Lab (front right corner)	6,85,000	6.85 lakh
D	Capability Display Zone (left as you enter – tables in the centre)	5,76,000	5.76 lakh
E	Drone Testing & Calibration Equipment (front left, along the sides)	11,90,000	11.90 lakh
F	Drone Flying Arena & Obstacle Course (right of passage) – Basic / Intermediate / Advanced	13,67,000	13.67 lakh
G	Site Works & Utilities	31,10,000	31.10 lakh
H	**Simulator Zone (right of aisle as you enter; also RPTO classroom)**	**15,00,000**	**15.00 lakh**
	GRAND TOTAL (excl. GST)	**₹ 1,74,04,000**	**₹ 1.74 Cr**

11.1 Budget notes

- **Revised total:** the facility itself stays at ₹1.59 crore (heads A–G, inside the earlier ₹1.50–1.65 crore band). Adding the ₹15 lakh simulator zone (head H) takes the total infrastructure budget to ₹1.74 crore. The simulator zone is what lets Chandigarh run RPTO courses and unit training from day one.
- **GST:** GST (mostly 18%) is not included; if the budget must include GST, the shelter rate, AC count and DG size are the main levers to bring it back into range.
- **Biggest item:** the prefab shelter (head A) is about half the cost; PEB + PUF rates vary roughly ₹700–1,000 per sq ft with steel prices and panel thickness, so get 3 vendor quotes.
- **Flying areas:** the obstacle course (head F) is within ₹10–15 lakh and the flying area uses existing land with only fencing and levelling costed.

11.2 Regulatory & safety notes

- **Airspace:** check the site is in a green zone on the DGCA Digital Sky airspace map before construction.
- **Training:** certified remote-pilot training requires authorisation as a Remote Pilot Training Organisation (RPTO) under the Drone Rules, 2021; check current DGCA requirements before finalising the training layout.
- **Battery safety:** keep LiPo batteries in the fire-retardant racks near the exit, with Class-D extinguisher and sand bucket at hand.

12. Review of the Enablers for Scaling Up

Each of SpaceGen's eleven enablers was checked for who leads it, how practical it is, when it starts to earn revenue, what it needs and what could slow it. The table is colour-coded:

Enablers 1–5 – Chandigarh facility (counted in this plan)	Enablers 6–11 – Hyderabad HQ (7, 8, 9 moved to HQ; not counted in this plan)

#	Enabler	Led by	Practicality	Revenue starts	What it needs	Main risk	Y5 ₹ Cr	Y10 ₹ Cr
1	Existing customers & referrals (18+ Army units, BSF, police)	Chandigarh	High	Immediate	Field-trial experts, demo kit; referral incentives	Over-dependence on few units' local budgets	21	36
2	Demos at Chandigarh facility (Northern & Western Command)	Chandigarh	High	Immediate (from facility opening)	6-person Chandigarh team; demo fleet; visitor programme	Permission and security procedures for visitors	17	28
3	Demos in forward areas to Army units	Chandigarh	High	Immediate	Leased SUV, 3-person demo team; formation permissions	Weather, road access; unit budget timing	14	24
4	RPTO – DGCA certification & unit training	Chandigarh	High	Year 1 (after DGCA authorisation)	2 Remote Pilot Instructors, simulator zone (≈300 sq ft, 4 + 1 simulators)	RPTO approval time; price competition	6.5	14
5	GeM listing & regular RFPs / open tenders	Chandigarh	High	Year 1	Product listings on GeM with OEM/IDDM declarations; bid desk at Chandigarh	L1 price pressure; EMD/PBG blocking cash	18	38
6	Central procurement (RFI → RFP, FTP / EP / capital)	Hyderabad HQ	Medium	Year 2–3 (first orders), large from Year 4	DGQA/user trials, AS9100D, MIL-STD-810/461 reports, BG limits – HQ-led	Long cycles (18–36 months); capital-heavy	HQ	HQ
7	PMF & civil departments (fixed-wing / VTOL: roads, power, oil & gas)	Hyderabad HQ	Medium-high	Year 1–2	Fixed-wing/VTOL survey payloads, DGCA type certificates; HQ-led	Tender-driven; slow payments from some departments	HQ	HQ
8	DPSU partnering (BEL, HAL, BDL – sub-systems / Tier-2)	Hyderabad HQ	Medium	Year 2–3	Vendor registration with BEL/HAL/BDL; QA system – HQ-led	DPSU margins are thin; long qualification	HQ	HQ
9	Expos & seminars → exports (friendly foreign countries)	Hyderabad HQ	Medium	Leads Year 1; export orders Year 3+	Expo budget; export authorisation (SCOMET) – HQ-led	Export licensing; lumpy orders	HQ	HQ
10	Joint development with Army – problem statements, iDEX, joint IP	Hyderabad HQ	Medium-high	Year 1–2 (grants), production Year 3+	Joint problem statements with formations/ADB; iDEX/ADITI; IP agreements – HQ-led	IP sharing terms; development risk	HQ	HQ
11	Integrated solutions – MUM-T, zone protection, swarm defence	Hyderabad HQ	Medium (long-term high)	Pilots Year 3; scale Year 5+	Systems-engineering team, C2 software, sensor fusion, test range – HQ-led	Highest technical and funding need	HQ	HQ

Y5 / Y10 values are Chandigarh Base-case sales (Section 13). Enablers 6–11 are in Hyderabad HQ's plan and are not counted here.

Notes on the Chandigarh enablers

- **1–3 Army network, Chandigarh and forward demos:** the fastest and cheapest revenue. Former MCEME students now in units of Northern and Western Command know the problem and the products; commanding officers can buy under delegated financial and emergency powers, and each satisfied unit generates referrals within its formation.
- **4 RPTO:** low capital, steady cash, and it puts every trainee in front of SpaceGen products. DGCA requires at least 2 Remote Pilot Instructors per batch of 20, a ~300 sq ft classroom, 2 drones and 2 simulators – the ₹15 lakh simulator zone provides this.
- **5 GeM and RFPs:** GeM listing (already registered) plus bidding on Army, CAPF and state-police tenders in the northern sector gives a regular order flow.
- **6–11 – Hyderabad HQ:** central procurement (6), PMF and civil departments (7), DPSU partnering (8), expos and exports (9), joint development (10) and integrated solutions (11) need more expertise, dedicated technical teams and long cycles. Chandigarh supports them with demos and field trials, but their revenue and costs are booked at HQ.

13. Ten-Year Sales Projection – Chandigarh, Base Case

Year 1 is FY 2027-28, the first full year with the Chandigarh facility, simulator zone and RPTO running; FY 2026-27 is the set-up year. Figures are net sales in ₹ crore, excluding GST. Rows are the five enablers Chandigarh drives (1–5); enablers 6–11 belong to Hyderabad HQ and are excluded. Operating cost follows Section 16.

Enabler / revenue stream	Y1 FY27-28	Y2 FY28-29	Y3 FY29-30	Y4 FY30-31	Y5 FY31-32	Y6 FY32-33	Y7 FY33-34	Y8 FY34-35	Y9 FY35-36	Y10 FY36-37
1. Existing customers & referrals (18+ Army units, BSF, police)	9	12	15	18	21	24	27	30	33	36
2. Demos at Chandigarh facility (Northern & Western Command)	5	8	11	14	17	20	22	24	26	28
3. Demos in forward areas to Army units	3	5	8	11	14	16	18	20	22	24
4. RPTO – DGCA certification & unit training	0.8	2	3.5	5	6.5	8	9.5	11	12.5	14
5. GeM listing & regular RFPs / open tenders	4	7	10	14	18	22	26	30	34	38
TOTAL SALES – CHANDIGARH, enablers 1–5 (₹ crore)	**21.8**	**34**	**47.5**	**62**	**76.5**	**90**	**102.5**	**115**	**127.5**	**140**
YoY growth	—	56%	39.7%	30.5%	23.4%	17.6%	13.9%	12.2%	10.9%	9.8%
Operating cost – Chandigarh facility (₹ crore)	**2.85**	**4.19**	**5.71**	**7.37**	**9.07**	**10.74**	**12.37**	**14.06**	**15.82**	**17.66**
Increase in operating cost	—	1.34	1.52	1.66	1.70	1.67	1.63	1.69	1.76	1.84
Operating cost as % of sales	13.1%	12.3%	12%	11.9%	11.9%	11.9%	12.1%	12.2%	12.4%	12.6%
Share of Chandigarh-addressable market	1.4%	1.7%	1.9%	2%	2.1%	2.1%	2.1%	2.1%	2%	2%

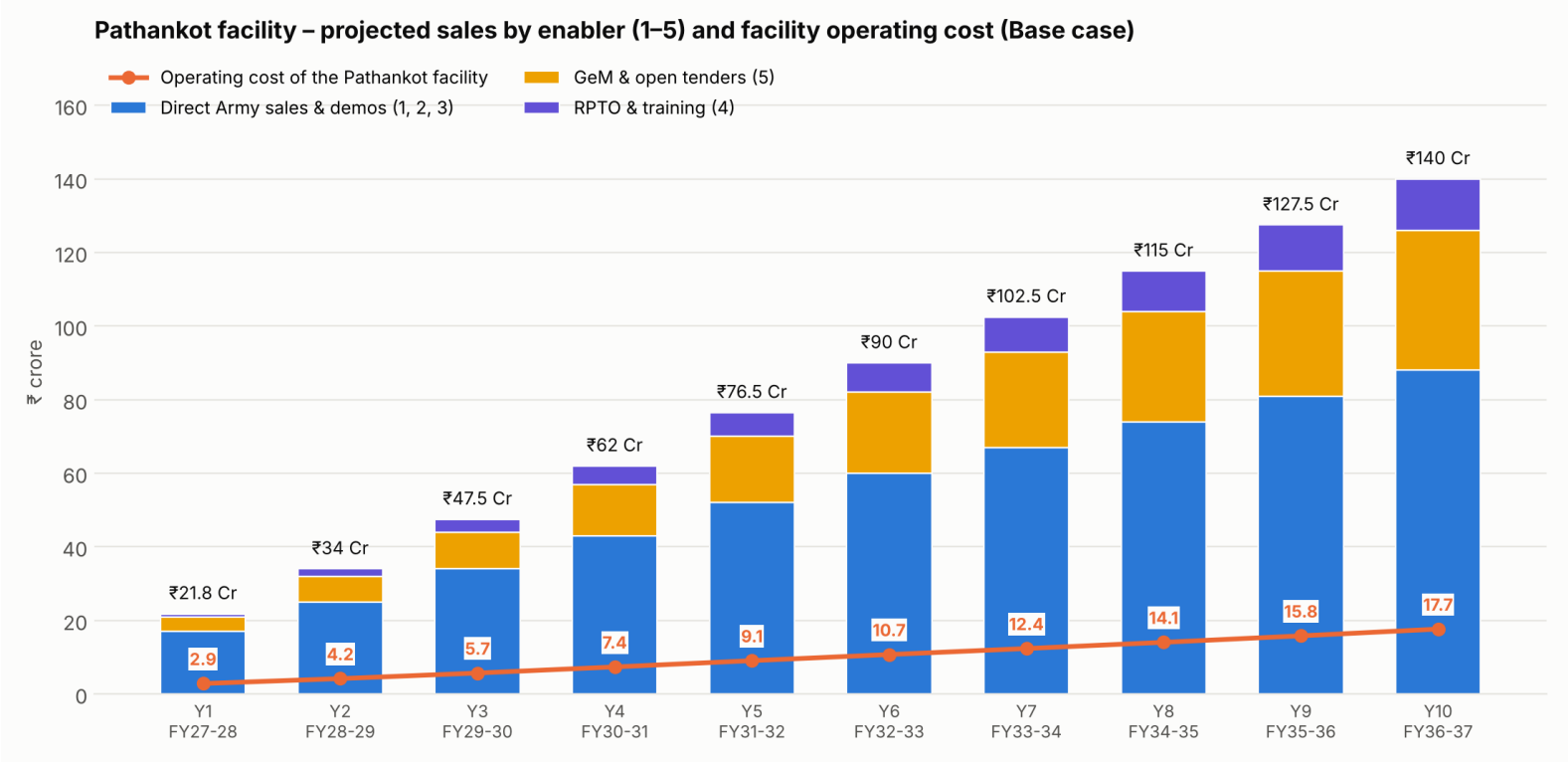


Figure 12 – Chandigarh Base-case sales by enabler group, with the facility's operating cost

14. Year-on-Year Scale-Up Drivers – Chandigarh

Year	Sales ₹ Cr	YoY	Op. cost ₹ Cr	Head-count	Facilities & capability at Chandigarh	Reach	Participation (demos, bids, expos)	Investment
Y1 FY27-28	21.8	—	2.85	6	Facility live: technical area, simulator zone, arena, obstacle course (₹1.74 Cr); 6-person team; RPTO application	Northern Command (J&K) + Western Command (Punjab), BSF Punjab & Jammu Frontiers, Punjab Police	24 demo trips; 30 GeM bids; RPTO first batches	₹2–3 Cr seed: capex ₹1.74 Cr + Year-1 running cost + demo fleet
Y2 FY28-29	34	56%	4.19	8	RPTO DGCA-authorised; 2nd demo vehicle; spares & repair bay	+ Himachal Pradesh, Haryana; IAF stations Chandigarh, Adampur, Halwara	30 demos; 45 bids	Internal accruals; share of HQ ₹5 Cr bank working capital
Y3 FY29-30	47.5	39.7%	5.71	10	Northern-sector drones moved to Chandigarh on Technical Ownership Transfer; local integration & QA	+ Ladakh (14 Corps), ITBP; J&K Police	36 demos; 60 bids	Internal accruals
Y4 FY30-31	62	30.5%	7.37	12	Expansion ₹1.0 Cr – integration & MRO shed; night-flying lights upgrade	+ South Western Command demos (Rajasthan border)	40 demos; 70 bids	₹1.0 Cr expansion from accruals
Y5 FY31-32	76.5	23.4%	9.07	14	2nd RPTO batch line; C-UAS demo range agreements with formations	+ CAPF units and state police across the north	45 demos; 80 bids	Internal accruals
Y6 FY32-33	90	17.6%	10.74	16	Sustainment & MRO for installed base in J&K / Punjab / HP	Northern sector – all formations	50 demos; repeat orders	Internal accruals
Y7 FY33-34	102.5	13.9%	12.37	18	Expansion ₹1.5 Cr – C-UAS test & integration bay; field test-range tie-ups	Same	50+ demos	₹1.5 Cr expansion from accruals
Y8 FY34-35	115	12.2%	14.06	20	Product refresh demos (next-gen interceptors, C-UAS)	Same	Same, plus C-UAS trials with formations	Internal accruals
Y9 FY35-36	127.5	10.9%	15.82	22	Mature northern hub; refresher training for all Ashni platoons in sector	Same	Same	Internal accruals
Y10 FY36-37	140	9.8%	17.66	24	Full-service northern hub – sales, training, MRO	Same	Same	Internal accruals

Headcount is Chandigarh only (6-person Rev 2 team in Year 1, adding about 2 a year – engineers, pilot instructors, bid desk, MRO technicians). Manufacturing and design stay at Hyderabad HQ.

14.1 What drives the growth each year

Year 1 (FY27-28) – sales ₹21.8 crore, operating cost ₹2.9 crore

- Existing Army units in the north re-order and refer neighbouring units (₹9 Cr).
- Demos at the new Chandigarh facility bring Northern & Western Command formations to see the drones fly (₹5 Cr).
- First GeM orders (₹4 Cr) and first forward-area demos (₹3 Cr); RPTO starts (₹0.8 Cr).
- Operating cost ₹2.9 Cr, of which ₹0.89 Cr is fixed running cost.

Year 2 (FY28-29) – sales ₹34 crore (+56%), operating cost ₹4.2 crore

- RPTO is DGCA-authorised: civil courses and Army unit packages (₹2 Cr).
- Repeat GeM orders (₹7 Cr) and more forward demos (₹5 Cr).

- Existing customers ₹12 Cr; facility demos ₹8 Cr.
- Headcount 8; operating cost ₹4.2 Cr (+1.3 Cr).

Year 3 (FY29-30) – sales ₹47.5 crore (+39.7%), operating cost ₹5.7 crore

- Northern-sector drones transferred to Chandigarh (Technical Ownership Transfer at transfer cost) – faster delivery and support.
- GeM ₹10 Cr; forward demos ₹8 Cr.
- RPTO ₹3.5 Cr as unit packages grow.
- Operating cost ₹5.7 Cr (+1.5 Cr).

Year 4 (FY30-31) – sales ₹62 crore (+30.5%), operating cost ₹7.4 crore

- ₹1.0 Cr integration & MRO shed lets Chandigarh service the installed base.
- Existing customers ₹18 Cr; forward demos ₹11 Cr.
- Demos extend to South Western Command.
- Headcount 12; operating cost ₹7.4 Cr.

Year 5 (FY31-32) – sales ₹76.5 crore (+23.4%), operating cost ₹9.1 crore

- 2nd RPTO batch line (₹6.5 Cr training).
- GeM ₹18 Cr; existing customers ₹21 Cr.
- CAPF and state-police orders through GeM tenders.
- Operating cost ₹9.1 Cr.

Year 6 (FY32-33) – sales ₹90 crore (+17.6%), operating cost ₹10.7 crore

- MRO and sustainment contracts across J&K, Punjab and HP.
- Facility demos ₹20 Cr; GeM ₹22 Cr.
- Sales reach ₹90 Cr.
- Headcount 16; operating cost ₹10.7 Cr.

Year 7 (FY33-34) – sales ₹102.5 crore (+13.9%), operating cost ₹12.4 crore

- ₹1.5 Cr C-UAS test & integration bay.
- GeM ₹26 Cr; existing customers ₹27 Cr.
- Growth settles near 11–14% as the base grows.
- Operating cost ₹12.4 Cr.

Year 8 (FY34-35) – sales ₹115 crore (+12.2%), operating cost ₹14.1 crore

- Product refresh demos keep C-UAS ahead of new threats.
- Existing customers ₹30 Cr; GeM ₹30 Cr.
- RPTO ₹11 Cr.

- Headcount 20; operating cost ₹14.1 Cr.

Year 9 (FY35-36) – sales ₹127.5 crore (+10.9%), operating cost ₹15.8 crore

- Refresher training for Ashni platoons across the sector (RPTO ₹12.5 Cr).
- GeM ₹34 Cr; existing customers ₹33 Cr.
- Share of addressable market ≈ 2%.
- Operating cost ₹15.8 Cr.

Year 10 (FY36-37) – sales ₹140 crore (+9.8%), operating cost ₹17.7 crore

- Full-service northern hub: sales, training and MRO.
- Chandigarh enablers 1–5 reach ₹140 Cr.
- Share of Chandigarh-addressable market 2%.
- Headcount 24; operating cost ₹17.7 Cr.

15. Procurement Signals that Matter for SpaceGen

Recent buying decisions show where the money is going and what each one means for the Chandigarh facility.

Signal	What it means
≈ ₹30,000 Cr emergency / fast-track buys after Op Sindoor (drones, loitering munitions, C-UAS, EW)	Forces will buy quickly from vendors with field-proven kit and trials done
Army plans ≈ ₹20,000 Cr for drones & surveillance; ₹1,577 Cr loitering-munition contracts (Aug 2026)	Large central orders – need DGQA trials, certifications and BG capacity
DFI: next tactical-drone order may exceed ₹20,000 Cr (US$2 bn), delivery in 18–24 months	Window for Tier-1/Tier-2 roles with primes and DPSUs – HQ-led (enabler 8)
DAC ≈ ₹52,000 Cr AoN incl. anti-drone (AKASH TARANG), kamikaze drones (Jul 2026)	RFPs follow; HQ partners DPSUs (BEL, BDL); Chandigarh runs field trials
Ashni drone platoon in every infantry battalion (≈380 battalions); Army chief: ~5,000 drones per command	Recurring demand for FPV drones, spares, training and simulators – SpaceGen's core
BEL IDDIS anti-drone ≈ ₹572 Cr; Zen ₹332 Cr C-UAS order; BSF Drone Warfare School (Aug 2025)	C-UAS buying is real and recurring across Army, IAF and BSF
44,000+ Remote Pilot Certificates, 39,000+ drones registered (Jun 2026); 145 RPTOs (Dec 2024)	Training demand keeps rising; few RPTOs in J&K / north Punjab
iDEX ADITI: up to ₹25 Cr grant per challenge (50% of product budget)	Funds joint problem statements and joint IP with the Army

16. Financial View – Operating Cost of the Chandigarh Facility (Base case)

16.1 Ten-year operating cost

₹ crore	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
Salaries	0.46	0.67	0.90	1.17	1.47	1.81	2.21	2.65	3.14	3.70
Admin & facility running	0.26	0.31	0.37	0.44	0.51	0.59	0.68	0.77	0.88	0.99
HQ support visits	0.05	0.05	0.06	0.06	0.07	0.07	0.07	0.08	0.08	0.09
Demonstration tours	0.08	0.09	0.11	0.12	0.14	0.16	0.18	0.21	0.24	0.28
One-time induction move	0.03	—	—	—	—	—	—	—	—	—
Selling & marketing (3% of sales)	0.65	1.02	1.43	1.86	2.29	2.70	3.08	3.45	3.83	4.20
HQ technical support (4% of sales)	0.87	1.36	1.90	2.48	3.06	3.60	4.10	4.60	5.10	5.60
Warranty & field support (2% of sales)	0.44	0.68	0.95	1.24	1.53	1.80	2.05	2.30	2.55	2.80
Total operating cost	**2.85**	**4.19**	**5.71**	**7.37**	**9.07**	**10.74**	**12.37**	**14.06**	**15.82**	**17.66**
Increase in operating cost	—	1.34	1.52	1.66	1.70	1.67	1.63	1.69	1.76	1.84
Operating cost as % of sales	13.1%	12.3%	12%	11.9%	11.9%	11.9%	12.1%	12.2%	12.4%	12.6%
Memo: depreciation (not in operating cost)	0.17	0.17	0.17	0.27	0.27	0.27	0.42	0.42	0.42	0.42
Headcount (Chandigarh)	6	8	10	12	14	16	18	20	22	24

Operating cost is the running cost of the Chandigarh facility. It starts from the Rev 2 manpower and operating budget (₹85.59 lakh a year + ₹3.02 lakh one-time move), grows with headcount (6 → 24) and inflation, and adds selling (3%), HQ technical support (4%) and warranty (2%) as a share of Chandigarh sales. Depreciation of the ₹1.74 Cr facility and the ₹1.0 Cr (Y4) and ₹1.5 Cr (Y7) expansions is shown separately. Excludes GST.

The facility's operating cost rises from ₹2.9 crore in Year 1 to ₹17.7 crore in Year 10, a total of ₹99.8 crore over ten years. In Year 1, ₹0.89 crore is fixed running cost and the rest moves with sales.

16.2 Year-1 operating costs at Chandigarh

Cost head	Year 1 (₹ lakh)	Basis
Salaries	46.32	Rev 2 team of 6 (₹46.32 lakh/yr), growing to 24 staff by Year 10; 8% annual raise
Admin & facility running	26.10	Rev 2 admin budget ₹26.10 lakh/yr + ₹1.8 lakh per added head; 6% inflation
HQ support visits	5.18	4 visits a year from Hyderabad HQ (Rev 2)
Demonstration tours	7.99	24 demos a year in J&K, Punjab, HP, Haryana (Rev 2); +15% a year
Selling & marketing (3%)	65.40	Trials, literature, travel for tenders – 3% of Chandigarh sales
HQ technical support / transfer charge (4%)	87.20	Design, software and engineering support from Hyderabad HQ – 4% of sales
Warranty & field support (2%)	43.60	Spares and field repairs under warranty – 2% of sales
One-time induction move	3.02	Year 1 only – move of team and equipment from Hyderabad (Rev 2)
Total operating costs – Year 1	**284.81**	**Excludes depreciation**

17. Scenarios – Chandigarh (₹ crore)

Scenario	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	10-yr total
Conservative – sales	14.2	22.1	30.9	40.3	49.7	58.5	66.6	74.8	82.9	91	531
Conservative – operating cost	2.2	3.1	4.2	5.4	6.7	7.9	9.1	10.4	11.8	13.3	74.1
Base – sales	**21.8**	**34**	**47.5**	**62**	**76.5**	**90**	**102.5**	**115**	**127.5**	**140**	**816.8**
Base – operating cost	**2.9**	**4.2**	**5.7**	**7.4**	**9.1**	**10.7**	**12.4**	**14.1**	**15.8**	**17.7**	**99.8**
Upside – sales	25.1	39.1	61.8	80.6	99.5	117	133.2	149.5	165.8	182	1,053.6
Upside – operating cost	3.1	4.7	7.0	9.0	11.1	13.2	15.1	17.2	19.3	21.4	121.2

Conservative = 65% of Base (slower demos, RPTO approval delayed, fewer GeM orders). Upside = Base +15% in Years 1–2 and +30% from Year 3 (faster transfer of northern-sector products, more GeM and repeat Army orders). Operating cost keeps the same fixed costs in every case; only the 9% sales-linked costs change.

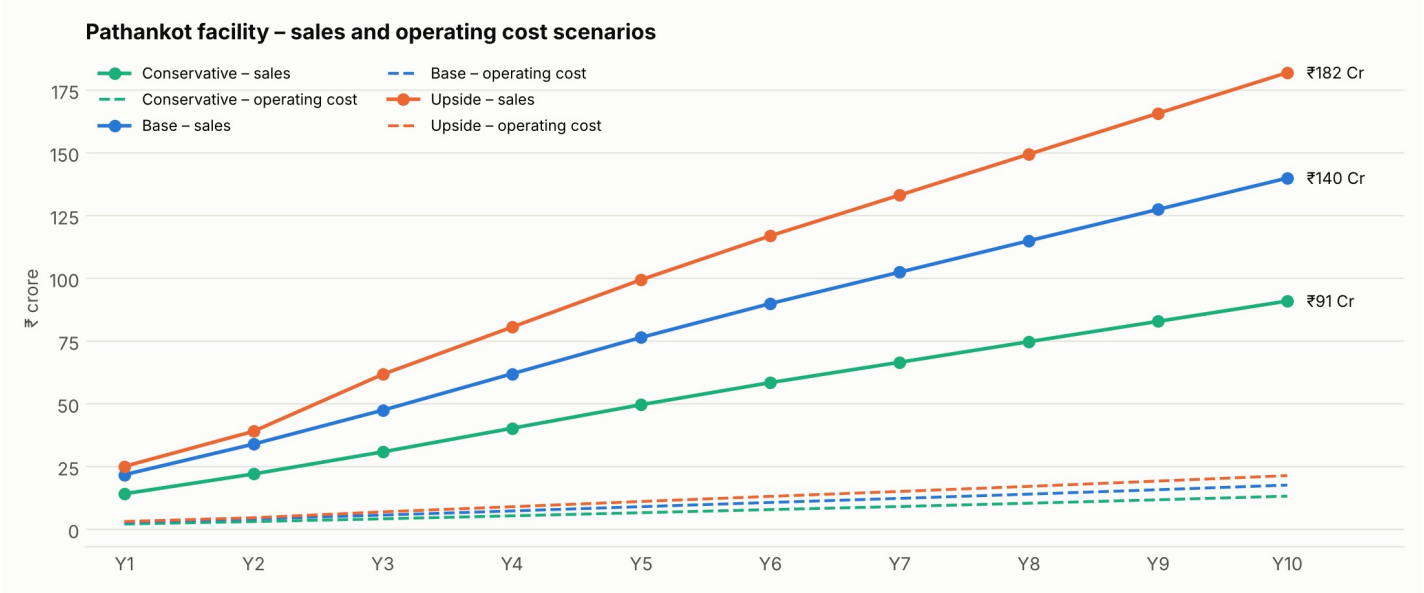


Figure 13 – Chandigarh sales and operating cost scenarios

18. Market Share – Chandigarh

The plan needs only about 2% of the northern-sector market Chandigarh serves: 1.4% in Year 1, 2.1% in Year 5 and 2% in Year 10.

₹ crore	FY27-28 (Y1)	FY31-32 (Y5)	FY36-37 (Y10)
India drone + C-UAS spend (all domains)	15,575	34,785	65,752
SpaceGen-addressable (national)	6,293	14,443	27,351
Chandigarh-addressable (northern sector)	1,578	3,678	6,945
Chandigarh sales (Base)	21.8	76.5	140
Chandigarh share of its addressable market	**1.4%**	**2.1%**	**2%**

Chandigarh-addressable = the northern-sector part of SpaceGen's addressable segment (Northern & Western Command, BSF Punjab/Jammu, J&K and Punjab police; civil is HQ-led). See Section 3.4.

19. Product Mix at Chandigarh (share of sales)

Product family	Year 1	Year 5	Year 10
FPV attack / grenade-dropper drones & payloads	37%	26%	20%
Counter-UAS – detectors, jammers, MITYA spoofer, Shield	32%	30%	30%
Interceptor drones – Lakshya, Arjuna, Arjun Kavach	8%	13%	15%
VTOL ISR – Aniketra, Samharak (Army ISR)	9%	13%	16%
Tethered surveillance, transport drones, helipad	8%	10%	11%
Simulators & training (RPTO, Sky Commander)	6%	8%	8%

Note: drones specific to the Northern sector will be considered for shifting to the Chandigarh facility. Their names will be explained by Capt Vego, and they will be transferred to the Chandigarh facility on Technical Ownership Transfer, at transfer cost. Integrated MUM-T / zone & swarm-defence packages stay with Hyderabad HQ and are not in the Chandigarh mix.

20. Funding Plan – Chandigarh Facility

A ₹2–3 crore seed builds and runs the facility in Year 1; later expansion (₹1.0 crore in Year 4, ₹1.5 crore in Year 7) is funded from internal accruals.

Use of the ₹2–3 crore seed	₹ crore	Notes
Facility capital cost (heads A–H)	1.74	Technical area, simulator zone, arena & obstacle course, site works
Year-1 fixed running cost	0.89	Salaries, admin & facility running, HQ visits, demos, one-time move (Rev 2)
Demo fleet & training drones	0.30	Display and demonstration units for the northern sector
Total	**2.93**	**Within the ₹2–3 crore seed; order working capital from the HQ bank line (₹5 Cr)**

21. Risks and Mitigation – Chandigarh

Risk	Effect	Mitigation
Slow transfer of northern-sector products from HQ	Chandigarh sells only what HQ ships; longer delivery	Agree the product list (Capt Vego) and Technical Ownership Transfer terms in Year 1; keep demo stock at Chandigarh
RPTO approval delay	Training revenue (enabler 4) slips	Apply as soon as the simulator zone is ready; run unit training packages meanwhile
Visitor permissions & security	Fewer demos at the facility	Pre-cleared visitor programme with formations; forward-area demos as a parallel channel
Working capital for orders	Cannot take larger GeM / PMF orders	Use HQ's ₹5 Cr bank line; milestone advances (20–30%)
Fast-changing drone threat	C-UAS products become dated	SDR-based, software-upgradable designs from HQ; feedback from northern users to HQ
Concentration on Army in one sector	Budget swings hit sales	Grow training, GeM, CAPF and police sales; PMF, civil and export work (enablers 7–9) sits with Hyderabad HQ
Key-person dependence (CEO network, Centre Head)	Slower demos and conversion	Field-trial team of ex-defence experts; documented customer relationships; deputy Centre Head from Year 3
Weather & terrain (winter, monsoon)	Fewer flying days	Indoor simulator zone and netted arena; schedule forward demos by season

22. Assumptions and Basis of the Numbers

- **Timing:** Year 1 = FY 2027-28; all values ₹ crore, excluding GST; constant 2026 prices.
- **Scope:** Chandigarh books enablers 1–5 only; enablers 6–11 (including 7, 8 and 9) are Hyderabad HQ's.
- **Operating cost:** the facility's operating cost is its running cost – team, admin & facility running, HQ visits, demos, plus selling (3%), HQ technical support (4%) and warranty (2%) of Chandigarh sales; depreciation is shown separately.
- **Addressable market:** the northern-sector share (30% of defence drones and C-UAS, 25% of PMF; civil is HQ-led) is an estimate based on the share of formations, BSF frontiers and state forces in J&K, Ladakh, Punjab, HP and Haryana.
- **Budget estimates:** the domain spend table is an estimate built from published market reports and budgets; it is not an official allocation.
- **Execution:** growth assumes the manpower, facilities and approvals in Section 14 are delivered on time.

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Disclaimer: this is a planning document. Market figures are third-party estimates; projections are indicative and depend on funding, approvals and procurement outcomes. It is not investment advice.